

25STCV03887 25STCV03887

County: los-angeles

Division: Civil Law and Motion

Department: 415

Hearing date: 2026-07-20

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TENTATIVE

RULING

DEPARTMENT

415

HEARING DATE

July

20, 2026

CASE NUMBER

25STCV03887

MOTION

Motion

for Summary Judgment or, in the Alternative, Summary Adjudication

MOVING PARTY

Plaintiff

Creditors Adjustment Bureau, Inc.

OPPOSING PARTIES

Defendants

Margarita Porras and Carlos Colin Campos

BACKGROUND

Plaintiff Creditors

Adjustment Bureau, Inc. ("Plaintiff") moves for summary judgment against

Defendants Margarita Porras ("Porras") and Carlos Colin Campos (collectively, "Defendants"). Defendants' opposition was due no later than June

30, 2026. Defendants served their

opposition on July 6, 2026. As such, the

opposition is untimely. Nonetheless, the

Court exercises its discretion to consider the opposition papers, as Plaintiff replied

to the merits of the opposition and thereby waived any objection to the

late-filed opposition.

LEGAL STANDARD – MOTION FOR SUMMARY JUDGMENT

"[T]he party moving for summary judgment bears the

burden of persuasion that there is no triable issue of material fact and that

he is entitled to judgment as a matter of law[.] There is a triable issue of

material fact if, and only if, the evidence would allow a reasonable trier of

fact to find the underlying fact in favor of the party opposing the motion in

accordance with the applicable standard of proof." (Aguilar v.

Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.) "[T]he party

moving for summary judgment bears an initial burden of production to make a

prima facie showing of the nonexistence of any triable issue of material fact;

if he carries his burden of production, he causes a shift, and the opposing

party is then subjected to a burden of production of his

own to make a prima facie showing of the existence of a triable issue of

material fact." (Ibid.)

When the plaintiff seeks summary adjudication, the

plaintiff bears the burden to produce admissible evidence on each element of

every cause of action at issue. (Code Civ. Proc., § 437c, subd. (p)(1).)

DISCUSSION

Plaintiff asserts

one cause of action for breach of promissory note against Defendants. Plaintiff advances evidence Defendants

entered into a settlement agreement with Xtra Lease LLC ("Assignor"). The settlement agreement required Defendants to pay Assignor \$5,000 by July 3, 2024 and then \$1,500 per month for fifteen consecutive months and, should Defendants fail to make any payment as required, Defendants would owe the entire principal amount of \$59,010.23, less any payments made, plus interest, collections costs, and attorney fees. (Declaration of Humberto Matz, Exhibit 1.)

Plaintiff presents

evidence Defendants made the initial payment and three monthly payments and thereafter ceased making payments. (Matz Decl., ¶ 6.) Assignor then assigned its rights to collect on the settlement agreement to Plaintiff. (Id., ¶ 2.) Plaintiff also advances evidence Defendants admitted in response to Plaintiff's discovery they failed to make payments as required pursuant to the settlement agreement, and Defendants are, therefore, liable for \$59,010.23, less any payments made, plus interest, collections costs, and attorney fees. (Declaration of Rafael Munoz, Exhibits 3, 4.) Such evidence is sufficient to satisfy Plaintiff's burden to show Defendants are liable to Plaintiff for breach of contract. Thus, Plaintiff has shifted the burden to Defendants to raise triable issues of material fact as to whether Defendants are liable for breach of the promissory note.

In opposition,

Defendants do not dispute the pertinent facts.

Instead, Defendants rely on Porras's declaration in which she states, "[t]he missed installments resulted from inadvertence, not from any intent to avoid payment." (Declaration of Margarita Porras, ¶ 8.) Defendants thereby admittedly missed the payments. Their intention in doing so is immaterial.

Defendants contend

the settlement agreement is not enforceable pursuant to *Ridgley v. Topa Thrift & Loan Assn.* (1998) 17 Cal.4th 970 (*Ridgley*). In that case, the California Supreme Court held a contractual liquidated damages clause is unreasonable and hence unenforceable as a penalty, if it bears no reasonable relationship to the range of actual damages the parties anticipated would flow from a breach. (Id. at p. 977.) Given the facts in the underlying case, the Supreme Court noted charges for late payments of loan installments are unenforceable when they bear no reasonable relationship to the injury the creditor might

suffer from late payments. (Id.
at p. 978.)

In the instant
case, however, Plaintiff presents evidence the penalty for late payments of
installments due pursuant to the settlement agreement bears a precise
relationship to the injury Assignor anticipated would result from late
payments. The penalty represents the
exact amount to which Assignor was entitled if Assignor had not entered the
settlement agreement with Defendants. As
such, it is not a liquidated damages provision, but rather “[t]he amount of damages
was not ‘predetermined’ . . . [i]t was the actual amount of damages then due
and owing.” (Creditors Adjustment
Bureau, Inc. v. Imani (2022) 82 Cal.App.5th 131, 135.) Accordingly, Ridgley is not on point,
as it involved consideration of a liquidated damages provision which bore no relationship
to the amount of actual loss incurred.

In essence, Assignor
“agreed to accept a significantly reduced settlement amount . . . in exchange
for assurances that Defendants would be able to pay that reduced amount
quickly.” (Gormley v. Gonzalez
(2022) 84 Cal.App.5th 72, 86.) There is
“nothing unreasonable about parties . . . agreeing to settle . . . for a steep
discount, and also agreeing that if the settlement amount is not paid, judgment
will be entered on the amount the parties estimated would have been recovered
at trial.” (Id. at p. 87.)

Defendants also
cite Vitatech Internat., Inc. v. Sporn (2017) 16 Cal.App.5th 796, which
is likewise not on point. In that case,
the settlement agreement provided for a stipulated judgment in the amount of
\$303,000 if the breaching party failed to satisfy the settlement for \$75,000,
without any evidence \$303,000 represented the likely recovery if the settled
claims proceeded to trial. (Id.
at p. 811.) Here, Defendants rely on Porras’s
declaration, in which she states Defendants “consistently disputed the amounts [Assignor]
claimed we owed under the lease, and we did not believe Defendants owed those
sums.” (Porras Decl., ¶ 3.)

Defendants fail to

provide any explanation for the nature of the dispute or why Defendants would not owe such sums to Assignor. It is Defendants' burden, not Plaintiff's, to show any clause in the settlement agreement is unenforceable. (See, e.g., Civ. Code, § 1671, subd. (b) ["provision in a contract liquidating the damages for the breach of the contract is valid unless the party seeking to invalidate the provision establishes that the provision was unreasonable under the circumstances existing at the time the contract was made"].) Moreover, in opposing this summary judgment motion, Defendants cannot raise triable issues of material fact by citing inferences "derived from speculation, conjecture, imagination, or guesswork." (Joseph E. Di Loreto, Inc. v. O'Neill (1991) 1 Cal.App.4th 149, 161.)

Defendants' reliance on Greentree Financial Group, Inc. v. Execute Sports, Inc. (2008) 163 Cal.App.4th 495 is also misplaced. The Court of Appeal in that case relied on the lack of evidence regarding the likelihood of success on the merits. (Id. at pp. 499-500.) Again, Defendants fail to advance any specific evidence they did not owe Assignor any sums under the lease. Defendants, therefore, fail to meet their burden to show the settlement agreement is unenforceable.

CONCLUSION AND ORDER

As Defendants have failed to meet their burden to raise triable issues of material fact as to whether they are liable for breach of the promissory note, the motion for summary judgment is granted.

Plaintiff is ordered to give notice of the Court's ruling and to file proof of service of same.